

YAGEO

Positive outlook didn't break

- Our view on the 3Q guidance.** While YAGEO delivered strong 2Q rev growth and decent margins (see below) in 2Q, the 3Q rev outlook of “moderate growth” (which we believe means ~5% up sequentially) was meaningfully below the street expectations of 11-12% rev growth q-o-q. Interestingly, YAGEO suggests that the 3Q UTR will rise to the 90-95% level for both commodity and premium segments, a bit higher vs. 80-85% in 2Q. Some of the production could be geared toward inventory rebuilding (2Q inventory days dropped to ~110 days from its typical ~120). While we largely keep our original 3Q rev forecast of ~NT\$46bn (which implies 5% growth q-o-q), we see decent upside risks in guidance/JPMc. We still see a decent chance of price increases taking place across many customers/products throughout 3Q. Meanwhile, we also don't rule out that YAGEO is monitoring shipments to certain channels. In recent months, the company has quickly gained a more prominent role in the Greater China general IT market (as North Asian peers are shifting focus to AI), which should ensure the longevity of the ongoing supply/demand balance.
- Slightly lift PT to NT\$1,030; positive outlook didn't break.** The shares of many Asian passive names saw +50% corrections in the region after the June peak. While some investors resetting from extremely bullish pricing expectations has been a key reason, some negative pricing data points from Greater China also contributed to the share weakness (but note this applies to secondary/resell markets, not directly linked to YAGEO and other passive component makers). We believe our current pricing assumptions of 5-10% hikes in 2026/10-20% hikes in 2027 (which were previously deemed conservative by many investors back in June) are still holding up well, as we believe the long-term thesis of AI creating long-term supply tightness for the passive industry is still holding up well. We expect more newflows on price hikes to take place in the industry in the coming weeks. In our view, the overflow orders/supply chain shift will lift the pricing for YAGEO in the foreseeable future. So investors should accumulate YAGEO, which is trading at 16x 2027e EPS, after the likely weakness post results.

Table 1: YAGEO 2Q26 Earnings Summary

NT\$m

NT\$ million	2Q26			Variance		Growth	
	Actual	JPM est.	Consensus	vs. JPM	vs. Consensus	Q/Q	Y/Y
Revenue	44,456	40,809	42,712	9%	4%	16%	36%
Gross profit	17,116	15,141	16,620	13%	3%	18%	47%
Operating profit	11,749	9,698	11,413	21%	3%	22%	67%
Net profit	9,418	8,073	9,156	17%	3%	18%	88%
Adjusted EPS (NT\$)	4.54	3.89	4.45	17%	2%	17%	-53%
Gross margin	38.5%	37.1%	38.9%	140bps	-41bps	40bps	294bps
Operating margin	26.4%	23.8%	26.7%	266bps	-29bps	124bps	494bps
Net margin	21.2%	19.8%	21.4%	140bps	-25bps	22bps	594bps

Source: J.P. Morgan estimates, Company data, and Bloomberg Finance L.P.

Overweight

2327.TW, 2327.TT

Price (29 Jul 26):NT\$507.00

▲ Price Target (Dec-26):NT\$1,030.00

Prior (Dec-26):NT\$1,000.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	16.98	18.22	7.3%
Adj. EPS - 27E (NT\$)	30.22	31.80	5.2%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	10.77	3.90A	6.96
Q2	9.74	4.54A	7.85
Q3	3.10	4.51	8.41
Q4	3.29	5.27	8.58
FY	11.40	18.22	31.80

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	72	53	20	11	54
Growth	45	40	45	33	15
Momentum	6	16	53	58	54
Quality	54	42	26	35	29
Low Vol	74	59	41	57	73
ESGQ	100	100	100	96	12

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	119.5%	-51.2%	57.4%	279.1%
Rel	81.3%	-40.2%	55.6%	206.5%

Company Data

Shares O/S (mn)	2,054
52-week range (NT\$)	1,220.00-129.50
Market cap (\$ mn)	32,134
Exchange rate	32.40
Free float (%)	82.7%
3M ADV (mn)	55.66
3M ADV (\$ mn)	1,264.3
Volatility (90 Day)	91
Index	TAIEX
BBG ANR (Buy Hold Sell)	17 0 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	132,930	179,792	248,899	316,299
Adj. EBIT	29,801	47,009	83,409	124,938
Adj. EBITDA	39,635	62,925	107,728	156,261
Adj. net income	23,634	37,684	65,925	99,631
Adj. EPS	11.40	18.22	31.80	48.06
BBG EPS	11.32	19.08	30.16	45.33
Cashflow from operations	49,937	(8,954)	49,806	81,680
FCFF	43,881	(17,680)	39,806	71,680
Margins and Growth				
Revenue Growth Y/Y (%)	9.3%	35.3%	38.4%	27.1%
EBIT margin	22.4%	26.1%	33.5%	39.5%
EBIT Growth Y/Y (%)	27.4%	57.7%	77.4%	49.8%
EBITDA margin	29.8%	35.0%	43.3%	49.4%
EBITDA Growth Y/Y (%)	20.1%	58.8%	71.2%	45.1%
Net margin	17.8%	21.0%	26.5%	31.5%
Adj. EPS growth	(72.6%)	59.8%	74.5%	51.1%
Ratios				
Adj. tax rate	23.6%	22.7%	23.0%	23.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	0.4	0.5	0.3	0.1
Net debt/EBITDA	1.7	1.5	0.6	0.1
ROE	14.3%	21.3%	31.7%	37.0%
Valuation				
FCFF yield	4.2%	(1.7%)	3.8%	6.8%
Dividend yield	1.0%	1.2%	1.1%	1.9%
EV/Revenue	2.0	1.6	1.1	0.7
EV/EBITDA	6.7	4.7	2.5	1.5
Adj. P/E	44.5	27.8	15.9	10.5

Summary Investment Thesis and Valuation

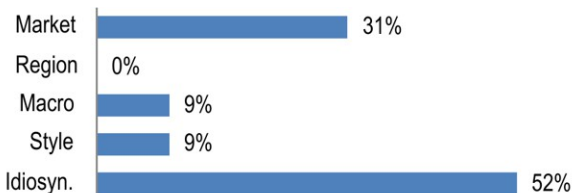
Investment Thesis

We are OW on YAGEO, given its leading position in tantalum capacitors after acquiring Kemet and its strong presence in MLCCs/R-Chips, a market that has consolidated over time with disciplined supply expansion. We believe less exposure to commodity-type products can help smooth the revenue fluctuations, while increasing demand for tantalum capacitors can support YAGEO's future top- and bottom-line growth.

Valuation

Our Dec-26 PT of NT\$1,030 is based on 26x 2027/28E EPS. 26x is beyond the 1.5-STD above-average forward P/E at which the company has traded since 2021. We believe the multiple is justified as passive components enter a demand-driven upcycle, which is more structural and healthy versus the previous cycle in 2018-19. We believe YAGEO is one of the key beneficiaries of this cycle, with 1) dominance in high-end passives (global leader in Tantalum), and 2) MLCC price hikes starting from the lower-end segment.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.57	0.56
Region: Taiwan	-0.07	-0.05
Macro:		
HSI Volatility Index	-0.19	-0.22
JPM China A-shares Sentiment	-0.05	-0.16
JPM Global Equity Sentiment	-0.27	-0.16
Quant Styles:		
Growth	0.41	0.30
Value	-0.33	-0.30
DivYld	-0.37	-0.29

Table 2: YAGEO Pricing - Scenario Analysis

	2026e	2027e	2028e	2027e OP vs base case	2028e OP vs base case
Scen 1	No price hike on MLCC; 65-70% of resistor sees 10% price hike; 35-40% of inductor sees 10% price hike; 85%+ of Tantalum sees 10% price hike	No price hike on MLCC; 65-70% of resistor sees 20% price hike; 45-50% of inductor sees 20% price hike; 85%+ of Tantalum sees 20% price hike	25-30% of MLCC sees 10% price hike; 85%+ of resistor sees 10% price hike; 55-60% of inductor sees 10% price hike; 85%+ of Tantalum sees 20% price hike	-11%	-15%
Scen 2 (base case)	35-40% of MLCC sees 10% price hike; 85%+ of resistor sees 10% price hike; 45-50% of inductor sees 10% price hike; 85%+ of Tantalum sees 10% price hike	35-40% of MLCC sees 20% price hike; 85%+ of resistor sees 20% price hike; 45-50% of inductor sees 20% price hike; 85%+ of Tantalum sees 20% price hike	85%+ of MLCC sees 15% price hike; 85%+ of resistor sees 15% price hike; 55-60% of inductor sees 15% price hike; 85%+ of Tantalum sees 25% price hike	0%	0%
Scen 3	85%+ of MLCC sees 10% price hike; 85%+ of resistor sees 10% price hike; 45-50% of inductor sees 10% price hike; 85%+ of Tantalum sees 10% price hike	85%+ of MLCC sees 25% price hike; 85%+ of resistor sees 25% price hike; 45-50% of inductor sees 25% price hike; 85%+ of Tantalum sees 25% price hike	85%+ of MLCC sees 15% price hike; 85%+ of resistor sees 20% price hike; 55-60% of inductor sees 20% price hike; 85%+ of Tantalum sees 30% price hike	+15%	+20%

Source: J.P. Morgan estimates.

Table 3: I/S Highlights: Annual JPMe vs Consensus

NT\$ mn except for EPS

	JPMe			Consensus			Difference		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenues	179,792	248,899	316,299	177,508	238,111	307,384	1%	5%	3%
Gross profit	70,230	115,531	164,375	70,144	104,690	150,560	0%	10%	9%
GM (%)	39.1%	46.4%	52.0%	39.5%	44.0%	49.0%	-45bps	245bps	299bps
Operating profit	47,009	83,409	124,938	48,220	77,979	111,414	-3%	7%	12%
OPM (%)	26.1%	33.5%	39.5%	27.2%	32.7%	36.2%	-102bps	76bps	325bps
Pre-Tax profit	48,964	85,815	129,589	50,660	80,536	119,862	-3%	7%	8%
Net profit	37,684	65,925	99,631	39,245	62,648	93,294	-4%	5%	7%
Net Margin	21.0%	26.5%	31.5%	22.1%	26.3%	30.4%	-115bps	18bps	115bps
EPS (NT\$)	18.22	31.80	48.06	19.08	30.16	45.33	-4%	5%	6%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 4: I/S Highlights: Annual Revised vs Previous

NT\$ mn except for EPS

	Revised			Previous			Difference		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenues	179,792	248,899	316,299	171,165	240,511	312,892	5%	3%	1%
Gross profit	70,230	115,531	164,375	65,630	110,009	160,650	7%	5%	2%
GM (%)	39.1%	46.4%	52.0%	38.3%	45.7%	51.3%	72bps	68bps	62bps
Operating profit	47,009	83,409	124,938	43,217	78,860	121,616	9%	6%	3%
OPM (%)	26.1%	33.5%	39.5%	25.2%	32.8%	38.9%	90bps	72bps	63bps
Pre-Tax profit	48,964	85,815	129,589	45,670	81,549	126,309	7%	5%	3%
Net profit	37,684	65,925	99,631	35,106	62,646	97,111	7%	5%	3%
Net Margin	21.0%	26.5%	31.5%	20.5%	26.0%	31.0%	45bps	44bps	46bps
EPS (NT\$)	18.22	31.80	48.06	16.98	30.22	46.85	7%	5%	3%

Source: J.P. Morgan estimates.

Table 5: JPM Quarterly and Annual Estimates

NT\$m, year-end December

	FY25				FY26E				FY27E				FY28E				FY23	FY24	FY25	FY26E	FY27E	FY28E
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q						
Sales	31,104	32,771	33,087	35,968	38,166	44,456	46,477	50,694	57,901	62,022	64,330	64,646	75,068	78,587	80,641	82,002	107,609	121,667	132,930	179,792	248,899	316,299
qoq (%)	4%	5%	1%	9%	6%	16%	5%	9%	14%	7%	4%	0%	16%	5%	3%	2%	0%	0%	0%	0%	0%	0%
yoy (%)	9%	4%	4%	20%	23%	36%	40%	41%	52%	40%	38%	28%	30%	27%	25%	27%	-11%	13%	9%	35%	38%	27%
Gross profit	11,086	11,652	11,974	13,417	14,542	17,116	17,948	20,625	25,999	28,581	30,220	30,731	38,879	40,675	41,825	42,995	36,026	41,803	48,130	70,230	115,531	164,375
Operating (EBIT)	6,463	7,044	7,562	8,732	9,613	11,749	11,756	13,891	16,357	20,623	21,979	22,450	29,313	30,949	31,847	32,829	20,430	23,386	29,801	47,009	83,409	124,938
Net profit	5,530	4,998	6,356	6,751	8,001	9,418	9,342	10,923	14,434	16,270	17,426	17,795	23,232	24,635	25,523	26,241	17,427	19,356	23,634	37,684	65,925	99,631
Revenue breakdown by application																						
YAGEO original	33%	33%	34%	32%	31%	31%	29%	30%	30%	30%	30%	30%	29%	28%	28%	28%	40%	35%	33%	30%	30%	28%
R-chip	14%	14%	15%	14%	14%	14%	13%	13%	14%	14%	14%	14%	14%	14%	14%	13%	14%	14%	14%	13%	14%	14%
MLCC	7%	7%	7%	6%	6%	6%	6%	6%	7%	7%	7%	7%	6%	6%	6%	6%	8%	7%	7%	6%	7%	6%
Others	3%	4%	3%	4%	4%	4%	3%	3%	3%	3%	3%	3%	2%	2%	2%	2%	5%	5%	4%	3%	3%	2%
Pulse	8%	8%	10%	9%	8%	7%	7%	7%	7%	7%	7%	7%	6%	6%	6%	6%	13%	10%	9%	7%	7%	6%
Kemet contribution	44%	44%	44%	44%	43%	47%	49%	50%	51%	51%	52%	53%	56%	56%	56%	57%	43%	41%	44%	47%	40%	35%
Tantalum	22%	22%	23%	22%	24%	24%	25%	27%	30%	30%	31%	31%	34%	35%	36%	37%	17%	18%	22%	25%	21%	19%
Ceramic	12%	12%	12%	11%	13%	13%	14%	13%	12%	12%	12%	12%	12%	12%	11%	11%	14%	11%	12%	13%	10%	9%
Chilisin	13%	13%	13%	12%	13%	12%	11%	11%	10%	10%	10%	9%	8%	8%	9%	8%	15%	14%	13%	11%	9%	7%
Sensor business	10%	9%	8%	11%	13%	11%	11%	10%	9%	8%	8%	8%	7%	7%	7%	7%	3%	10%	10%	11%	8%	7%
Margins (%)																						
Gross	35.6	35.6	36.2	37.3	38.1	38.5	38.6	40.7	44.9	46.1	47.0	47.5	51.8	51.8	51.9	52.4	33.5	34.4	36.2	39.1	46.4	52.0
Operating	20.8	21.5	22.9	24.3	25.2	26.4	25.3	27.4	31.7	33.3	34.2	34.7	39.0	39.4	39.5	40.0	19.0	19.2	22.4	26.1	33.5	39.5
EBITDA	28.7	28.7	30.1	31.6	32.2	35.9	34.5	36.8	41.4	43.0	44.0	44.6	49.0	49.3	49.4	49.9	27.1	27.1	29.8	35.0	43.3	49.4
Net	17.8	15.3	19.2	18.8	21.0	21.2	20.1	21.5	24.9	26.2	27.1	27.5	30.9	31.3	31.7	32.0	16.2	15.9	17.8	21.0	26.5	31.5

Source: J.P. Morgan estimates, Company data.

Key Takeaways from YAGEO 2Q26 Analyst Meeting

2Q review

- B/B ratio continues to increase; June ratio reaching 2.2
- Overall UTR 80-85% (commodity/premium grade products grew ~10/5ppt QoQ)
- AI rev mix 16% (grew 3ppt QoQ): AI continues to be the main driver of rev growth
- Adjusted price to pass through material cost inflation
- Continued to have constructive conversations with key customers, who value YAGEO's technology capability and capacity

Inventory

- Inventory turnover days decreased from ~120 to ~110 days on stronger demand
- All inventory channels saw relatively lower inventory level to sales, which YAGEO views as a healthy development for the overall industry

Capacity expansions

- YAGEO has conducted fab/equipment optimization in 1H26 to increase capacity
- Revising up capex (exact number non disclosed), while the expansion will be mainly for Tantalum and MLCC
- Expansion timing: will expand on a quarterly basis; both 3Q and 4Q will see capacity increase
- Fabs undergoing expansion: Kaohsiung (moving in equipment), Vietnam, Suzhou, Mexico, etc., production sites

LTA

- Starting 2Q26, clients showed increasing interest in LTA to secure supply
- Terms: both 1) product and 2) duration vary by customer. For pricing, usually LTA fixes volume but not pricing, which can see dynamic adjustment according to future market dynamic
- Customers: mostly direct customers who are driven by AI demand (but note that they might still source these components through ODM/EMS)
- YAGEO's strategy: being selective in clients when signing LTAs as YAGEO wants to retain flexibility to serve the supply chain

Investment Thesis, Valuation and Risks

YAGEO (*Overweight; Price Target: NT\$1,030.00*)

Investment Thesis

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Valuation

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Risks to Rating and Price Target

Downside risks include MLCC/R-Chip price reversals (which could be driven by a slower pace of auto electrification, inventory corrections, etc.) and execution issues during mergers.

YAGEO: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	121,667	132,930	179,792	248,899	316,299	Revenue	38,166	44,456	46,477	50,694	
COGS	(70,235)	(74,966)	(93,646)	(109,050)	(120,601)	COGS	(20,953)	(23,145)	(24,247)	(25,301)	
Gross profit	41,803	48,130	70,230	115,531	164,375	Gross profit	14,542	17,116	17,948	20,625	
SG&A	(14,945)	(14,910)	(19,010)	(26,296)	(32,284)	SG&A	(4,035)	(4,393)	(5,069)	(5,512)	
Adj. EBITDA	33,014	39,635	62,925	107,728	156,261	Adj. EBITDA	12,284	15,945	16,038	18,659	
D&A	(9,629)	(9,834)	(15,917)	(24,319)	(31,323)	D&A	(2,671)	(4,196)	(4,282)	(4,768)	
Adj. EBIT	23,386	29,801	47,009	83,409	124,938	Adj. EBIT	9,613	11,749	11,756	13,891	
Net Interest	2,190	1,571	1,901	2,406	5,251	Net Interest	303	828	426	344	
Adj. PBT	26,863	31,120	48,964	85,815	129,589	Adj. PBT	10,325	12,222	12,181	14,236	
Tax	(7,377)	(7,343)	(11,129)	(19,737)	(29,805)	Tax	(2,287)	(2,766)	(2,802)	(3,274)	
Minority Interest	130	143	151	152	152	Minority Interest	37	38	38	38	
Adj. Net Income	19,356	23,634	37,684	65,925	99,631	Adj. Net Income	8,001	9,418	9,342	10,923	
Reported EPS	41.68	11.40	18.22	31.80	48.06	Reported EPS	3.90	4.54	4.51	5.27	
Adj. EPS	41.68	11.40	18.22	31.80	48.06	Adj. EPS	3.90	4.54	4.51	5.27	
DPS	16.34	5.01	5.95	5.45	9.54	DPS	0.00	0.00	5.95	0.00	
Payout ratio	39.2%	43.9%	32.7%	17.1%	19.9%	Payout ratio	0.0%	0.0%	132.1%	0.0%	
Shares outstanding	464	2,073	2,068	2,073	2,073	Shares outstanding	2,054	2,073	2,073	2,073	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	61,118	81,473	70,174	107,636	162,348	Gross margin	34.4%	36.2%	39.1%	46.4%	52.0%
Accounts receivable	25,032	30,510	49,999	63,761	80,879	EBITDA margin	27.1%	29.8%	35.0%	43.3%	49.4%
Inventories	27,823	31,636	67,930	86,550	109,736	EBIT margin	19.2%	22.4%	26.1%	33.5%	39.5%
Other current assets	44,315	21,727	32,931	42,726	54,359	Net profit margin	15.9%	17.8%	21.0%	26.5%	31.5%
Current assets	158,288	165,346	221,034	300,672	407,323	ROE	13.1%	14.3%	21.3%	31.7%	37.0%
PP&E	66,410	65,305	59,075	55,234	52,075	ROA	5.5%	6.2%	9.0%	13.7%	17.5%
LT investments	-	-	-	-	-	ROCE	5.9%	7.3%	10.9%	17.0%	21.4%
Other non current assets	141,978	160,139	163,242	163,242	163,242	SG&A/Sales	12.3%	11.2%	10.6%	10.6%	10.2%
Total assets	366,676	390,789	443,352	519,148	622,639	Net debt/equity	0.5	0.4	0.5	0.3	0.1
Short term borrowings	70,633	86,196	103,235	111,772	121,944	P/E (x)	12.2	44.5	27.8	15.9	10.5
Payables	15,003	18,031	22,314	23,900	26,412	P/BV (x)	1.5	6.2	5.7	4.5	3.4
Other short term liabilities	28,342	31,852	50,889	65,443	82,929	EV/EBITDA (x)	3.2	6.7	4.7	2.5	1.5
Current liabilities	113,978	136,079	176,437	201,114	231,285	Dividend Yield	3.2%	1.0%	1.2%	1.1%	1.9%
Long-term debt	70,578	62,088	62,812	62,812	62,812	Sales/Assets (x)	0.3	0.4	0.4	0.5	0.6
Other long term liabilities	19,566	18,626	19,184	19,760	20,353	Interest cover (x)	NM	NM	NM	NM	NM
Total liabilities	204,123	216,793	258,434	283,686	314,450	Operating leverage	110.7%	296.3%	163.8%	201.5%	183.9%
Shareholders' equity	160,461	170,878	182,690	233,234	305,962	Revenue y/y Growth	13.1%	9.3%	35.3%	38.4%	27.1%
Minority interests	2,092	3,119	2,228	2,228	2,228	EBITDA y/y Growth	13.2%	20.1%	58.8%	71.2%	45.1%
Total liabilities & equity	366,676	390,789	443,352	519,148	622,639	Tax rate	27.5%	23.6%	22.7%	23.0%	23.0%
BVPS	345.51	82.43	88.34	112.51	147.60	Adj. Net Income y/y Growth	11.1%	22.1%	59.4%	74.9%	51.1%
y/y Growth	6.6%	(76.1%)	7.2%	27.4%	31.2%	EPS y/y Growth	(0.1%)	(72.6%)	59.8%	74.5%	51.1%
Net debt/(cash)	80,093	66,811	95,873	66,948	22,408	DPS y/y Growth	133.0%	(69.4%)	18.9%	(8.4%)	74.9%
Cash flow from operating activities	10,823	49,937	(8,954)	49,806	81,680						
o/w Depreciation & amortization	9,629	9,834	15,917	24,319	31,323						
o/w Changes in working capital	(18,293)	16,326	(62,706)	(40,590)	(49,426)						
Cash flow from investing activities	(10,814)	(18,419)	(9,423)	(10,000)	(10,000)						
o/w Capital expenditure	(10,814)	(18,419)	(9,423)	(10,000)	(10,000)						
as % of sales	8.9%	13.9%	5.2%	4.0%	3.2%						
Cash flow from financing activities	1,868	(4,158)	5,977	(2,193)	(9,029)						
o/w Dividends paid	(8,385)	(10,284)	(12,344)	(11,305)	(19,778)						
o/w Net debt issued/(repaid)	5,904	7,073	17,763	8,537	10,173						
Net change in cash	1,876	27,361	(12,400)	37,613	62,650						
Adj. Free cash flow to firm	4,177	43,881	(17,680)	39,806	71,680						
y/y Growth	(71.4%)	950.6%	(140.3%)	(325.2%)	80.1%						

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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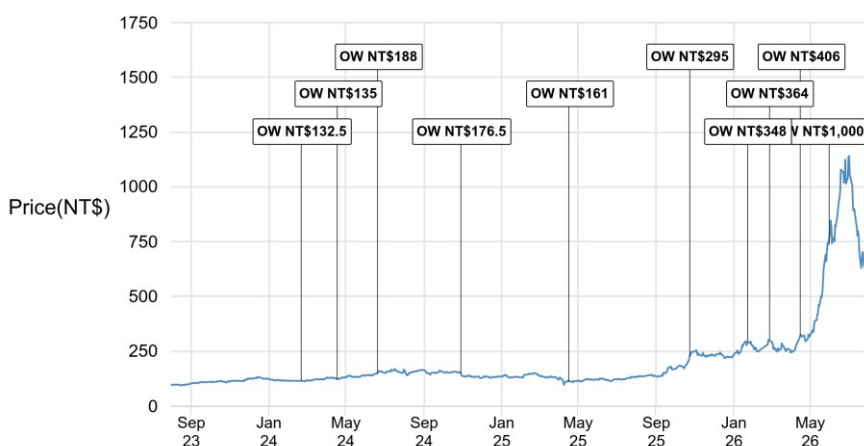
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YAGEO (2327.TW, 2327 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
22-Feb-24	OW	116.33	132.5
18-Apr-24	OW	124.08	135
21-Jun-24	OW	149.60	188
30-Oct-24	OW	147.75	176.5
17-Apr-25	OW	112.50	161
24-Oct-25	OW	226.00	295
23-Jan-26	OW	296.00	348
26-Feb-26	OW	300.00	364
16-Apr-26	OW	322.00	406
01-Jun-26	OW	738.00	1,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 17, 2001. All share prices are as of market close on the previous business day.

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IB clients**	83%	80%	73%
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